



July 7, 2025

Senator Thomas Umberg
Chair of the Senate Judiciary Committee
Capitol Office, 1021 O Street, Suite 7510
Sacramento, CA 95814

Senator Roger Niello
Vice Chair of the Senate Judiciary Committee
Capitol Office, 1021 O Street, Suite 7110
Sacramento, CA 95814

Assembly Member Rebecca Bauer-Kahan
California State Assembly
Capitol Office, 1021 O Street, Suite 5210
Sacramento, CA 95814

RE: Ad Trade Letter in Opposition to California AB 45

Dear Chair Umberg, Vice Chair Niello, and Assembly Member Bauer-Kahan:

On behalf of the advertising industry, we respectfully oppose AB 45, and we offer this letter to express our concerns about this legislation.¹ We and the companies we represent, many of whom do substantial business in California, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and industry policies. However, as drafted, AB 45 would have an overbroad effect by impeding legitimate advertising to Californians if they are merely *near* a family planning center. The bill also raises First Amendment concerns by blocking advertising to medical professionals and others inside of entities that provide in-person health care services. Moreover, the bill would permit a private right of action for certain violations, creating the possibility of extensive monetary penalties for well-meaning companies who inadvertently violate the bill's terms. We therefore urge the Senate Judiciary Committee ("Committee") to decline to advance the bill any further in the legislative process.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of responsible companies across the country that make up and support the digital economy. These companies range from small businesses to household brands, advertising agencies, publishers, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet and the digital economy, which accounted for 18 percent of total U.S. gross domestic product ("GDP") in 2024. By one estimate, over 1.8 million jobs in California are related to the ad-subsidized Internet. Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the non-exhaustive list of issues with the bill that we discuss in this letter.

¹ California AB 45 (2025-2026 Reg. Sess.), located [here](#).



I. AB 45 would prohibit advertising to consumers who are in or near certain health-related facilities, impacting especially small and midsize businesses that operate in densely populated areas and raising First Amendment concerns.

AB 45 would make unlawful any collection, use, disclosure, sale, sharing, or retention of “personal information of a natural person who is physically located at, or within the precise geolocation of, a family planning center.”² The bill would also prohibit geofencing an entity that provides in-person health care services in California to collect personal information from a person, send notifications to a person related to their personal information, or to send advertisements to a person related to the person’s personal information.³ While well-intended to protect Californians from potential negative impacts related to tracking consumers’ efforts to access health and family planning services, the bill would have an overly broad effect by functionally outlawing advertising to a consumer who is within the vicinity of a family planning center.

AB 45 would impact businesses offering products and services entirely unrelated to health care if a consumer might be within 1,850 feet of a family planning center. Under the bill, any business, including small, mid-size, and mom-and-pop businesses who happened to set up shop near a family planning center would be unable to advertise to consumers using personal information collected about consumers in their stores. The bill would, for example, prohibit a small business thrift shop located next to a family planning center from advertising to consumers who have already frequented and made purchases at the store. In densely populated cities, such as Los Angeles and San Francisco, AB 45’s impact would stretch across significant portions of the metro area due to the prevalence of family planning centers in those cities. Advertising not only supports small businesses’ ability to remain viable so consumers have choices in the marketplace, but also supports consumers’ ability to access products and services at a low cost. If AB 45 is enacted, functionally outlawing advertising based on personal information collected across cities, consumers will not understand why products and services no longer function as intended or become more expensive.

In addition, the bill’s prohibition on geofencing around entities that provide in-person health care services to send advertising raises First Amendment concerns. The use of data to deliver truthful, relevant advertising is protected by the First Amendment. The First Amendment protects both businesses in their right to free expression and individuals in their right to receive accurate information through advertising.⁴ The bill’s ban on the use of geofencing to provide advertising would deprive businesses of their First Amendment right to advertise and would unconstitutionally ban doctors, nurses, and others inside of entities offering in-person health care services from receiving advertising. We encourage the Committee to carefully consider AB 45’s potential impact on protected free speech and to narrow its scope so the bill’s broad bans do not outlaw entities’ ability to engage in protected speech through advertising.

² *Id.* at Sec. 3, § 1798.99.91(a).

³ *Id.* at Sec. 4, § 1798.99.92(a).

⁴ *Virginia State Board of Pharmacy v. Virginia Citizens Consumer Council, Inc.*, 425 U.S. 748, 756-67 (1976); *Sorrell et. Al. v. IMS Health Inc.*, 564 U.S. 552, 570-71 (2011).



II. A private right of action is an inappropriate form of enforcement for privacy legislation.

AB 45 would permit any aggrieved person or entity to institute a civil action for injunctive and monetary relief against any person who violates the section of the bill pertaining to collection, processing, or transfer of personal information physically present at, or within the precise geolocation of, family planning centers.⁵ We strongly believe private rights of action should have no place in privacy legislation. Instead, enforcement should be vested with the state alone, because such an enforcement structure would lead to stronger outcomes for California residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with new data privacy requirements. State enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The private right of action in AB 45 would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions will flood California's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm. Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the state's economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively address consumer privacy concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.⁶

Beyond the staggering cost to California businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the inclusion of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm

⁵ AB 45 at Sec. 4, § 1798.99.92(d).

⁶ For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*



consumers. We therefore encourage the Committee to update AB 45 to remove the private right of action and to vest sole enforcement authority in the state.

* * *

We ask you to refrain from advancing AB 45 further in the legislative process. Thank you for your consideration of this letter.

Sincerely,

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CC: Members of the Senate Judiciary Committee and AB 45 Coauthors